

HOUSE BILL No. 1281

DIGEST OF INTRODUCED BILL

Citations Affected: IC 2-7.

Synopsis: Restrictions on lobbying for a foreign adversary. Provides that a lobbyist may not: (1) register as a lobbyist for a foreign adversary client; and (2) contract as a lobbyist to represent a foreign adversary.

Effective: July 1, 2026.

Judy, Haggard, Commons, Morris

January 6, 2026, read first time and referred to Committee on Rules and Legislative Procedures.



Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

HOUSE BILL No. 1281

A BILL FOR AN ACT to amend the Indiana Code concerning the general assembly.

Be it enacted by the General Assembly of the State of Indiana:

1 SECTION 1. IC 2-7-1-2.5 IS ADDED TO THE INDIANA CODE
2 AS A **NEW** SECTION TO READ AS FOLLOWS [EFFECTIVE JULY
3 1, 2026]: **Sec. 2.5. "Control" means direct or indirect power to**
4 **determine, direct, dictate, or decide important matters affecting a**
5 **corporation including through:**

6 **(1) the ownership of at least twenty percent (20%) of the total**
7 **outstanding voting interest in the person;**

8 **(2) board representation;**

9 **(3) the ability to appoint or discharge any board members,**
10 **officers, directors, employees, or contractors; or**

11 **(4) proxy voting, a special share, contractual arrangements,**
12 **legal obligations or formal or informal arrangements to act in**
13 **concert;**

14 **for the purpose of controlling or influencing a government of a**
15 **foreign country, a state in a foreign country, or a local unit in a**
16 **foreign country.**

17 SECTION 2. IC 2-7-1-3.7 IS ADDED TO THE INDIANA CODE



AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 3.7. "Foreign adversary" includes the following:

(1) The People's Republic of China, and all provinces and autonomous regions of the People's Republic of China, including:

(A) the Hong Kong Special Administrative Region of the People's Republic of China; and

(B) the Macau Special Administrative Region of the People's Republic of China.

(2) The Republic of Cuba.

(3) The Islamic Republic of Iran.

(4) The Russian Federation.

(5) The Syrian Arab Republic.

(6) The Venezuelan regime of Nicholas Maduro.

(7) An agency or instrumentality of a government listed in subdivisions (1) through (6).

(8) A person owned or operated in whole or in part by a foreign government listed in subdivisions (1) through (6).

(9) A person subject to the control of a foreign government listed in subdivisions (1) through (6).

SECTION 3. IC 2-7-1-3.8 IS ADDED TO THE INDIANA CODE AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 3.8. "Foreign adversary client" means the following:

(1) A current or former official in the executive, legislative, administrative, military, or judicial branches of a foreign adversary. The term includes elected and nonelected individuals.

(2) A current or former official of a foreign political party in a foreign adversary.

(3) A current or former executive or officer of a foreign adversary.

(4) A corporation or business that has been formed by or for the benefit of an individual described in subdivisions (1) through (3).

(5) A spouse, child, parent, sibling, or spouse's parent of an individual described in subdivisions (1) through (3).

SECTION 4. IC 2-7-1-10.7 IS ADDED TO THE INDIANA CODE AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 10.7. "Owned or operated in whole or in part" means:

(1) for a person that is a publicly traded company, a foreign adversary has:



1 (A) the ability to control the person;

2 (B) the ability to have access to any material nonpublic
3 technical information that the person possesses; or

4 (C) rights or involvement in directing, dictating,
5 controlling, or participating in the decision making of the
6 person beyond the abilities of a retail investor holding an
7 equivalent share of ownership; and

8 (2) for a person that is a privately held company, a foreign
9 adversary has any share of the ownership of the person.

10 SECTION 5. IC 2-7-5-6.5 IS ADDED TO THE INDIANA CODE
11 AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY
12 1, 2026]: **Sec. 6.5. A lobbyist may not:**

13 (1) register as a lobbyist for a foreign adversary client; and

14 (2) contract as a lobbyist to represent a foreign adversary.

15 SECTION 6. IC 2-7-6-2, AS AMENDED BY P.L.149-2016,
16 SECTION 6, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
17 JULY 1, 2026]: Sec. 2. (a) This section does not apply to failure to file
18 a report or statement under IC 2-7-2-1, IC 2-7-3-1, IC 2-7-3-3.3, or
19 IC 2-7-3-7 if the person failing to file the report or statement files a late
20 report or statement not more than ten (10) business days after the
21 commission notifies the person by certified mail, return receipt
22 requested, that the person did not file a timely report or statement.

23 (b) Any person who knowingly or intentionally violates any
24 provision of IC 2-7-2, IC 2-7-3, or IC 2-7-5 commits unlawful
25 lobbying, a Level 6 felony. In addition to any penalty imposed on the
26 defendant under IC 35-50-2-7 for unlawful lobbying, the court may
27 order the defendant not to engage in lobbying for a period of up to ten
28 (10) years, IC 2-7-5-6 notwithstanding.

29 (c) Any person who lobbies in contravention of a court order under
30 subsection (b) commits a Level 6 felony.

31 (d) A court may order a person who knowingly or intentionally
32 violates IC 2-7-5-6.5 to pay a civil penalty equal to the amount of
33 money that the person received for registering as a lobbyist for a
34 foreign adversary client or contracting as a lobbyist to represent
35 a foreign adversary. The clerk of the court shall deposit a civil
36 penalty collected under this subsection into the state general fund.

